

is no doubt about that.

Incentives, as you know, create the initial scale. But long-term competitiveness really depends on costs, technology, domestic value addition and export demand. These are particularly important.

What the PLI has done is accelerate capacity. By March this year, the schemes had attracted more than ₹2.4 lakh crore investment across 14 sectors. That is satisfactory.

But now it must become self-sustaining. Companies need to be competitive on unit costs, have reliable quality and sufficient capacity utilisation without depending on incentives.

The real transition is also moving from assembling products to controlling components, processes, technology and customer relationships.

Companies should use AI and, where relevant, even digital twins, especially in manufacturing, to improve product design, production yields, quality and capacity utilisation. This helps reduce costs.

If the PLI support is being used as a subsidy, it will be a big challenge when it ends.

But if a company has built some of the things that I mentioned and reached a particular scale, it will be okay.



What is required to further increase ease of doing business to boost manufacturing?

There are some states that do it well. Today, to open a manufacturing hub, you need multiple approvals from multiple departments, ministries and others. Some states have brought all of that together in one place, and there is one coordination officer who facilitates the entire thing. Nobody needs to run around to 15-20 ministries to figure things out. This is a small but important example.

Second, if there are subsidies and incentives, sometimes it is difficult to get those incentives because the number of forms you must fill, the number of returns you must file—all that takes a lot of time.

So, simplifying this is important. Two committees are there for further easing and removing regulations. This should be put on an even faster track.

The experience should be that you enter the country, you enter a state, and everything is completely managed as a one-stop shop. More approvals should be given digitally—if you meet the policy requirements, the process should be done, with no human interaction at all.



Which sectors will create next generation global companies from the manufacturing space?

Among the promising sectors is electronics. Defence and aerospace offer a tremendous market opportunity—for domestic consumption as well as exports. And then, industries like pharma, automobiles and electric vehicles, industrial machinery, specialty chemicals and clean energy equipment are really where I see promise. Importantly, these companies need to build right, and again, as our study indicates, there needs to be proprietary technology, product engineering, reliable global networks and global quality standards.

And of course, from a financial point of view, all the expansion should be supported by returns, manageable debt and operating cash, and not just scale alone.



IN SECTORS LIKE ELECTRONICS, AUTOMOBILES AND CAPITAL GOODS, LEADING COMPANIES HAVE CREATED A VIRTUOUS CYCLE OF GROWTH, CASH GENERATION AND INVESTMENT”



Compared with China or other countries, do we have it in us to become a sizable manufacturing player?

Obviously, a comparison with any other country, including China, is difficult today. But from a pure entrepreneurship spirit and capability perspective, in some areas like aerospace or medtech, we manufacture real deep technology. So, it is not that we cannot manufacture. Secondly, India does have domestic demand as well.

So, if you look at entrepreneurship, domestic demand and frugal innovation, there is some serious talent in the younger generation. This is of a different generation. I am optimistic that India can become a large global manufacturing economy. **BT**

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